

Targeted Stakeholder Consultation on Safeguarding the EU's Sovereignty

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Objective and Scope

Data is essential for Europe's competitiveness and security. It is a key input for artificial intelligence and for the development of a stronger data economy. However, while the EU has built a robust legal framework and promoted "data free flow with trust" internationally, unjustified data localisation requirements, discriminatory rules abroad and data leakage to third countries threaten to undermine sovereignty. Data sovereignty does not preclude openness to trusted partners, including exchange of data across borders, while ensuring a level playing field, security, and consistency with EU values and interests.

The purpose of this consultation is to gather evidence on practical challenges for EU organisations in an international context. These may concern barriers to accessing or using data in third countries; obstacles to transferring data to the EU; risks linked to third-country access to sensitive data; or wider data-related dependencies affecting European organisations.

Respondents were invited to answer from the perspective of their organisation or sector, indicating where possible: the sector or value chain concerned; the data category concerned; the third country or region concerned; the practical impact; and whether the issue appears isolated or systemic.

This targeted consultation is available in English only and was open until 15 September 2026.

Part 1 - General

Q1 - Organisation type, primary role(s) and sector(s)

A. Organisation type: Research organisation / university

B. Primary role(s): Other – *Research and Development*

C. Sector(s): Education, research and academia

Q2 - Does your organisation generate, access, process or share data outside the EU, or transfer data across borders between third countries and the EU, relevant to its economic, research, innovation, security or public-interest activities?

Yes.

As a researcher working on EU digital sovereignty, data protection, and AI governance, my work routinely involves:

- Reliance on non-EU-domiciled cloud and AI infrastructure for research computation, document analysis, and academic writing tools, where the underlying service provider is subject to third-country legal frameworks (for example, the US CLOUD Act when using Claude) regardless of where data is physically processed or stored.
- Cross-border access to legal, regulatory and policy source material originating outside the EU (e.g., US court rulings, third-country regulatory filings, non-EU corporate disclosures) required to conduct comparative legal and policy research on data governance frameworks.
- International academic collaboration and peer review, including submission of research to journals, conferences, and award processes that may be hosted or administered outside the EU, requiring transfer of unpublished research data and manuscripts across borders.
- Use of research and productivity tools operated by non-EU-domiciled providers in the course of day-to-day academic work, raising the same third-country legal-access questions this consultation is examining, but from the perspective of an individual researcher/research organisation, and not from that of a large enterprise.

These dependencies should generally apply for the research infrastructure that European universities and researchers rely on for ordinary academic activity.

Part 2 - International Data-Related Barriers or Other Issues

Q5 - Have you encountered barriers, restrictions, risks or other issues regarding data transfers between a third country and the EU, including where data was generated, collected or lawfully accessed outside the EU?

Yes.

As a researcher studying EU digital sovereignty and data governance, I have documented a structural risk affecting data transfers and storage arrangements between the EU and the United States: extraterritorial governmental access under the US CLOUD Act. This risk applies regardless of where data is physically stored, because the Act attaches to the data controller/provider rather than to server location.

There have been some very remarkable developments regarding this. For example, in a French Senate hearing (10 June 2025) examining public procurement and digital sovereignty, Microsoft France's director of public and legal affairs testified under oath that the company could not guarantee that French citizens' data would never be transmitted to US authorities without French authorisation, despite the data being stored within the EU. This is an illustration of how EU-based data storage/localisation alone cannot eliminate third-country access risk where the provider itself is subject to third-country jurisdiction.

- **Third country/region concerned:** United States
- **Practical impact:** 4 (significant impact) – this affects any EU organisation, public or private, relying on US-headquartered cloud or software providers for data storage or processing, regardless of the physical location of that data within the EU. This stems from the structure of US extraterritorial law, not from the practices of any single provider.
- **Isolated or systemic:** Systemic – this risk applies across sectors wherever US-domiciled providers are used, and is independent of individual companies' data-handling policies.

Q7 - What could the European Commission do to help address the barriers or other concerns identified above?

The barrier identified above (extraterritorial third-country legal access, persisting regardless of EU data residency) points to some very concrete structural gap: regulatory measures requiring EU-based data handling do not automatically reduce dependency on non-EU-domiciled providers. This was illustrated when a French domestic intelligence service renewed a multi-year contract with a US-headquartered data analytics provider (Palantir) in December 2025, despite a sovereign-hosting mandate (Loi SREN) already in force. Their reasoning was that there was an absence of a mature domestic alternative. The dependency was gone only when a domestic alternative reached operational readiness (roughly six months later).

In light of this, we have the following recommendations.

Recommendation 1: Prioritise genuine domiciliation over regulatory mandates alone. Regulation may function like a tariff, but it does not translate directly to money in our pockets. The Commission should focus on measures that make EU domicile positively attractive to providers and infrastructure operators. We are not talking about mandating EU-based services, but pushing incentives that support real relocation of control, personnel, and decision-making (for example, streamlined cross-border operation via the proposed 28th Regime/EU Inc., or procurement preference for providers meeting genuine headquarters/employment tests, or support for building large-scale domestic alternatives before constricting regulations take effect, not afterward).

Recommendation 2: Pair domiciliation incentives with efficiency-oriented R&D support. Current EU policy is heavily weighted toward physical infrastructure build-out (for example, targets to triple EU data centre capacity) relative to R&D: EU R&D spending represents only around 13% of total AI investment, against a self-set target of 3% of GDP. Computer science's own history offers a clue: breadth-first search, the primitive algorithm for finding shortest paths, did not deliver faster shortest-path computation by adding more vacuum tubes to run brute-force search — it was superseded by smarter algorithms (Dijkstra's, A*) running on

the same hardware. Those smarter algorithms are still used in GPS navigation today. Imagine if we had kept adding vacuum tubes instead of developing better algorithms and software. Data centres are the vacuum tubes of the 21st century, and current policy addresses rising demand by building more supply rather than solving the supply problem by building better. Sovereignty pursued through capacity-matching risks reproducing, under European leadership, the same resource-intensive scaling pattern currently driving dependency. This is a research-investment gap the Commission is positioned to close directly by ensuring domiciliation incentives are paired with targeted R&D support for compute and model efficiency. Invest in research please – Silicon Valley was not a product of mindless construction projects.

Recommendation 3: Treat strong data rights as a precondition for effective domiciliation, and not as a cost to be traded against it. Evidence from within the EU's own legal order (e.g. jurisdictions combining strong governance with genuine incentives to domicile, in Estonia, Ireland, etc.) suggests rights and attractiveness are not opposed. Strong data rights function the way a seat belt functions in a car purchase: would I buy a car without a seat belt? No, never! Rights-based trust reduces the burden on organisations and individuals to build trust case-by-case.

This train of thought goes beyond data protection. Orla Lynskey's work on EU data protection law argues that firms holding significant "data power" carry a special responsibility quite analogous to that imposed on dominant firms under competition law: rights function as a structural counterweight built into the system. A parallel logic appears in a different policy domain: New York City Mayor Zohran Mamdani has argued that businesses will locate where workers can actually afford to live and work, framing affordability and worker protection as the precondition that makes a location viable for business, not a cost businesses must be shielded from. In both cases, the protection is what makes the underlying transaction (a company's decision to locate, or a citizen's willingness to trust a platform with their data) possible at all.

Measures to strengthen domiciliation should not be paired with a weakening of data protection standards, as this risks removing the signal that the EU is a safe place for its people.

Q9 - To what extent should the EU consider adopting measures in response where a third country imposes restrictions on access to, use of, or transfer of data by EU organisations that are not applied to domestic organisations?

Reciprocal and retaliatory restrictions both address symptoms. The structural dependency persists as ever before. Evidence from the Palantir/DGSI case suggests that responsive measures are only durably effective once a genuine EU-domiciled alternative exists. Without a corresponding domestic capacity-building effort, capitulation/restriction/retaliation risks repeating the pattern we are all too familiar with: a sovereignty-oriented rule remains formally in place while substantive dependency continues (this is what happened despite France's Loi SREN mandate). The EU should prioritise measures that build domestic alternatives (including research) and incentivise genuine domiciliation over reactive restrictions alone, without antagonising or pandering to our allies.

Part 3 - Communication and Other

Q10 - Are existing channels sufficient for stakeholders in your sector to report or raise international data-related challenges with the European Commission or Member States? If not, what improvements would be useful?

Existing channels and the framing surrounding EU digital sovereignty policy are shaped by an ongoing narrative, at least since the Draghi report, of European technological decline that is repeated more consistently than the available evidence supports. This, then, affects how sector-specific input is solicited and weighted. The Draghi report's own language, describing a growth model that is fading and warning that inaction threatens not only competitiveness but sovereignty itself, set a tone of crisis. It has since become

the default premise underlying subsequent legislative packages, including the Digital Omnibus and the Tech Sovereignty Package. Such an apocalyptic and doomsday-cult narrative has done more harm than good to the EU.

On the surface, this narrative may look neutral, but on closer inspection, what good has it brought to us? Europe has genuine counter-examples to the "no European big tech" narrative that receive disproportionately little attention relative to how often the decline narrative is repeated:

- **Spotify and Booking.com** are each the largest company in their respective global sectors. Sweden's Spotify is the world's leading music streaming platform by both monthly active users and paid subscribers, and the Netherlands' Booking.com is the largest player in the world in online travel booking. Yet neither is typically cited when the "Europe has no big tech" claim is made, despite both being built and still headquartered in Europe.
- **SAP**, Europe's largest tech company by market capitalisation, was founded in 1972 in Germany by five former IBM employees after IBM abandoned the enterprise-software project they were working on. SAP has been IBM's direct competitor in enterprise software from its very first day, and 53 years later remains a dominant global player in enterprise resource planning software, far outranking IBM.
- **ASML**, headquartered in Veldhoven, Netherlands, holds a functional monopoly on extreme ultraviolet (EUV) lithography, the only technology capable of manufacturing the most advanced semiconductors used in AI chips, smartphones, and data centres. No competing company anywhere in the world can currently build an equivalent machine; every leading-edge chip manufacturer, including TSMC, Samsung, and Intel, depends entirely on ASML's equipment. This makes a European company the single most irreplaceable link in the global semiconductor supply chain, a fact rarely acknowledged in discussions of European technological dependency.
- **Delivery Hero**, founded in Berlin, IPO'd on the Frankfurt Stock Exchange, and now DAX-listed, distinguishes itself from its Silicon Valley-headquartered competitors

(DoorDash, Uber Eats) through a multi-local rather than single-global-app strategy, giving it market leadership in regions US platforms have struggled to penetrate or have since exited. For example, its Talabat brand alone holds an estimated 70% market share in the Middle East and North Africa.

- **Bending Spoons**, based in Milan, is unique in the technology industry for its explicit refusal to ever sell an acquired business; unlike traditional private equity, which acquires to eventually resell, Bending Spoons has built a portfolio of globally recognised but declining internet brands (Evernote, WeTransfer, Vimeo, AOL) with the intention of holding them permanently. It has also inverted the usual pattern of Italian tech talent emigrating abroad, treating Italian engineering costs as a competitive advantage, and the direction of acquisition itself has reversed: an Italian company now buys American internet icons, rather than the other way around.

These success stories are important for rearing new talents and engaging stakeholders: a decline-first premise is naturally the place from which talented engineers, researchers and investors all flee. We would recommend that the Commission's consultation channels invite evidence on comparative EU strengths, not only on barriers and gaps, so that the resulting evidence base is not designed to be skewed toward a negative confirmation bias. We would also like to note that repeating a narrative of decline has real economic consequences independent of its accuracy: capital, talent, and founders respond to the prevailing narrative, and a policy discourse that treats European technological capability as fundamentally lacking may itself contribute to the outcomes it describes, including the pattern of EU-founded companies choosing non-EU capital markets for public listing. We have built a self-fulfilling prophecy of decline by continuously parroting our failures and downplaying our successes.

Q11 - Further comments, evidence, practical examples, studies or data supporting your views

We would further recommend that the Commission consider supporting cultural and communications efforts (documentaries, podcasts, and similar formats) that tell the story of European tech successes with the same visibility given to narratives built around figures like Zuckerberg or Jobs. The absence of such a narrative is both a policy gap and a cultural oversight.

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